Accounting Standards in a Global Economy: Student Summary

Status as of 13 October 2026 · Dr. Srikanth Potharla, ICFAI Business School, Hyderabad

A global accounting language now exists, but dialects, enforcement and national interests still decide what the numbers mean. This summary covers the whole session on IFRS, US GAAP and Ind AS in nine short parts. Status is as of 9 October 2026.

The session at a glance

Part 1 · Foundations Why do statements and standards exist?	**Part 2 · Evolution** How did national rules become IFRS, ISSB and IFRS 18?	**Part 3 · Governance** Who writes, legislates and enforces the standards?
Part 4 · Comparison How do IFRS, US GAAP and Ind AS differ in practice?	**Part 5 · Country routes** Adopt, endorse, adapt or retain: who does what?	**Part 6 · Motives** Why internationalize, why resist, why does the US stay?
Part 7 · Practice Benefits, limits, and what finance leaders should do	**Part 8 · Sustainability** Is the ISSB the next IFRS? Same adopt-or-adapt pattern	**Part 9 · Examples** VW and Ford, IndiGo, Tesla, discussion and takeaways

The session runs from why standards exist (Part 1) to who decides what binds (Parts 3 and 5), with the comparison tools in Part 4 and the practical advice in Parts 7 to 9.

What you should be able to do

After this session you can:

1. Explain why standards exist and how milestones led to today's mix of IFRS, US GAAP and Ind AS.
2. Name who sets, legislates and enforces standards in the IFRS system, the US, the EU, the UK and India.
3. Compare the frameworks on the differences that change reported numbers and ratios.
4. Classify a country as adopting, endorsing, converging or retaining, and explain the motives.
5. Adjust and interpret statements across frameworks as a finance manager, investor or CFO.

How to read this summary. Each part ends with a **Key point** box. Where a fact depends on a date, the status is as of 9 October 2026. Check the "What to verify" part at the end before quoting any figure.

Part 1. Foundations: why standards exist

Markets need credible information. Two gaps make investing risky:

- **Information gap (before investing).** Sellers of securities know more than buyers. If buyers cannot tell strong firms from weak ones, they offer a low price, strong firms stay away and the market thins out.
- **Monitoring gap (after investing).** Managers act for owners but have interests of their own. Owners bear monitoring costs, and some loss remains. Credible reports are a low-cost way to hold managers to account.

The three statements answer three questions.

Statement	Question it answers
Balance sheet	What resources and claims exist at a date: assets, liabilities, equity?
Income statement	How did the firm perform over a period: revenues less expenses?
Cash flow statement	How did cash move: operating, investing, financing?

Why accruals need standards. Accruals record revenue and cost when earned or incurred, so profit tracks performance better than cash receipts. But accruals need estimates, so shared rules are needed to keep reports credible and comparable.

Reported numbers are not raw facts. A reported number is an economic event passed through rules and estimates, then shaped by management choices. It can drift from performance through:

- **Estimates:** useful lives, expected credit losses, provisions.
- **Incentives:** earnings targets, pay plans and loan terms.
- **The rules themselves:** some items are recorded and others are not; different assets use different measurement bases.

The conceptual framework. The IASB framework (revised March 2018) and FASB Concepts Statement 8 both say useful information is relevant and faithfully represented, and more useful if comparable, verifiable, timely and understandable. The standing trade-off is **relevance versus verifiability**: capitalising development cost gives a more relevant asset base but needs judgment; expensing it is easier to check but may omit value.

Why national systems differ. Five forces explain it:

Force	Effect
Financing system	Equity markets stress reporting to shareholders; bank-based systems stress creditor protection and prudence
Law and tax	Code-law countries write accounting into statute; where tax follows the books, rules change slowly
Listing venues	Exchanges and securities regulators decide which standards listed firms follow
Profession	A strong profession shapes rules through bodies, training and advice
Culture	Attitudes to uncertainty influence how secretive or conservative reporting is

Practical consequence: check the audit report first. Wipro's FY2007 Form 20-F used US GAAP; Tata Motors' FY2009 20-F used IFRS; Volkswagen reports under IFRS; Ford under US GAAP. The same business can show different numbers under each.

Cross-listing made this visible. A company listing abroad must report in a way that country's regulator accepts. Before 2007 a US listing meant US GAAP or a reconciliation to it. Preparing two sets of numbers is costly and profit can differ between them. The obvious fix, common international rules, ran into governments unwilling to hand over authority. That tension drives the rest of the story.

> **Key point.** Financial statements = economic reality + rules and estimates + management choices. Standards exist to make that second and third part credible and comparable. Always ask which framework the numbers were prepared under.

Part 2. Evolution: from national rules to IFRS

Stage 1: national rules (to 1973). Small firms kept books as they saw fit. As firms grew, outside shareholders and lenders relied on figures compiled by the people they funded. Speculation (the 1720 South Sea collapse) exposed the gap, and company law moved step by step towards registration, limited liability and disclosure, one country at a time. The US formalised disclosure with the 1933 and 1934 Securities Acts, which created the SEC; the SEC recognised FASB standards as authoritative in 1973 and again in 2003. Standards worked inside borders and carried little force abroad, which was tolerable while capital markets were mostly national.

Stage 2: harmonisation (1973 to 2000). In 1973 professional accountancy bodies from nine countries (Australia, Canada, France, Germany, Japan, Mexico, the Netherlands, the UK and Ireland, and the US) founded the IASC in London. It was a private body with modest funding and no power to compel, so it mostly codified existing national practice, often permitting alternatives. It issued its first International Accounting Standards from 1975.

Stage 3: an independent board (1995 to 2001). In 1995 the IASC and IOSCO agreed a work programme of core standards; IOSCO endorsed them in 2000. In January 2001 the IASB replaced the IASC with more funding and a new structure. IFRS 1 on first-time adoption signalled that countries were expected to move to IFRS. Old IASs stayed in force, so IAS and IFRS now coexist, and IFRIC interpretations carry the same authority.

Stage 4: mandates and convergence (2002 to 2008).

When	What happened	Why it mattered
Jul 2002	EU regulation: listed groups use endorsed IFRS from 2005	Largest single mandate
Jul 2002	Sarbanes-Oxley after the scandals; PCAOB created	Trust rebuilt in the US
Sep 2002	Norwalk Agreement: FASB and IASB commit to compatible standards	Start of convergence
2005	Australia adopts IFRS	Early non-EU adopter
Feb 2006	FASB-IASB Memorandum of Understanding	Joint projects on leases, revenue, instruments
2007	SEC lets foreign issuers file IFRS without reconciling to US GAAP	IFRS accepted in US markets
2008 to 2009	Financial crisis; G20 calls for one set of global standards	Pressure on both boards

Stage 5: joint standards, not identical ones (2009 to 2018). The boards issued three major standards, and each still differs in detail.

- **Revenue (IFRS 15 and ASC 606, 2014):** a common five-step model; application still needs judgment.
- **Financial instruments (IFRS 9, 2014):** staged expected credit losses. US GAAP chose its own CECL model and requires fair-value changes on most equity investments in net income.
- **Leases (IFRS 16 and ASC 842, 2016):** leases come on the balance sheet, but ASC 842 keeps an operating-lease expense pattern that IFRS 16 does not.

The SEC's 2012 staff report did not recommend switching US issuers to IFRS.

Stage 6: new frontiers (2019 to 2026). IFRS 16 became effective in 2019. The ISSB was created in 2021, IFRS 17 (insurance) took effect in 2023, and IFRS S1 and S2 (sustainability) were issued in June 2023. FASB issued ASU 2023-08 on crypto assets in December 2023. IFRS 18 was issued in April 2024 and applies from 1 January 2027. In September 2025 the SEC Chair flagged a possible review of the 2007 reconciliation relief, citing IASB funding.

Key point. Internationalization moved from a volunteer committee (IASC) to an independent board (IASB), then to endorsement, convergence and sustainability. Each step added reach but never removed national control.

Part 3. Governance: who writes, legislates and enforces

Every system separates three jobs: writing the standard, giving it legal force, and enforcing it.

System	Who writes	Who gives legal force	Who enforces
IFRS (global)	IASB, within the IFRS Foundation	Each jurisdiction decides; the IASB cannot compel use	National regulators; the Monitoring Board oversees the Trustees
United States	FASB, a private body overseen by the FAF	SEC recognises FASB standards as generally accepted	SEC; PCAOB oversees auditors
European Union	IASB writes; EFRAG advises	European Commission endorses under Regulation 1606/2002	National enforcers, coordinated by ESMA
United Kingdom	IASB writes; UKEB endorses	UK-adopted standards required in UK law	Financial Reporting Council
India	ICAI recommends; NFRA reviews	MCA notifies under section 133, Companies Act 2013	SEBI for listed companies; NFRA for auditors

The IFRS Foundation is a private, not-for-profit body with public oversight. A Monitoring Board of public authorities (including Japan's FSA as chair, IOSCO, the European Commission, the US SEC, and regulators from Brazil, Korea, China and the UK) oversees the Trustees. The Trustees appoint the members of the **IASB** (IFRS Accounting Standards), the **ISSB** (sustainability, created 2021) and **IFRIC** (interpretations). The IASB is independent, but has **no power to compel**: IFRS reaches companies only through national law. Funding is a live issue, since the SEC Chair tied a possible review of IFRS relief to stable IASB funding.

Due process in five steps. Identify an issue, set the agenda, consult through a draft and public comments, issue the final standard with an effective date, then review after implementation. Both boards follow a rigorous, inclusive and transparent process, so CFOs can raise problems early by answering exposure drafts.

United States. The SEC (created by the 1934 Act) reviews filings and monitors FASB. The FAF oversees FASB, which writes US GAAP and maintains the Accounting Standards Codification. The PCAOB (Sarbanes-Oxley, 2002) oversees auditors of public companies. In 2003 the SEC recognised FASB after five tests: a private entity; a public-interest board; funding as Sarbanes-Oxley requires; prompt decisions by majority vote; and keeping standards current while considering international convergence. Domestic public companies must use US GAAP; foreign private issuers may use IFRS as issued by the IASB. FASB's own process is also open and iterative, but slow: leases were on the joint agenda in 2006 and the standards arrived in 2016.

EU and UK: endorsement. In the EU the IASB issues an IFRS, EFRAG advises, the EU institutions decide, and national enforcers apply it. Under Regulation 1606/2002, listed groups' consolidated accounts follow endorsed IFRS from 2005. The tests: no conflict with the true-and-fair-view principle, information that is understandable, relevant, reliable and comparable, and the European public good. Since Brexit the UKEB (set up 2021) endorses "UK-adopted international accounting standards", required for UK-market groups from 31 December 2020, with two modifications: an IAS 39 portfolio-hedge carve-out and no IFRS 14.

India: six bodies.

Body	Role
MCA	Notifies Ind AS under section 133 of the Companies Act, 2013
ICAI	Recommends standards; issues standards for non-corporate entities
NFRA	Constituted 1 Oct 2018; recommends standards; investigates and penalises auditors
SEBI	Regulates listed companies; sets the BRSR sustainability framework
RBI	Regulates banks and NBFCs; ECL directions take effect 1 April 2027
IRDAI	Regulates insurers; plans Ind AS for insurers on a later date

An Ind AS starts from an IFRS: the IASB issues it, ICAI drafts the Indian version, NFRA reviews it, MCA notifies it, and entities apply it per the roadmap. Each Ind AS lists its main differences from the matching IFRS in an appendix. Auditor reports say compliance with **Ind AS, not IFRS**, so an Indian company cannot claim IFRS compliance. A foreign parent usually needs an IFRS reconciliation.

Banks and insurers move on regulators' timetables. Ind AS does not yet apply to banks. The RBI proposed expected-credit-loss provisioning on 1 October 2025 and finalised directions in April 2026, effective 1 April 2027, using a three-stage model drawn from IFRS 9. Expect a one-time provisioning rise, moderated by phasing. For insurers, the MCA notified Ind AS 117 (the IFRS 17 counterpart) on 12 August 2024; IRDAI required 15 insurers with foreign partners to adopt from 1 April 2024 and planned wider adoption from 1 April 2027.

> **Key point.** When someone says "we follow IFRS", ask two questions: which body gave it legal force, and who enforces it? The IASB writes, but each country decides what binds.

Part 4. Comparison: IFRS, US GAAP and Ind AS

	IFRS	US GAAP	Ind AS
Purpose	Common language for global capital markets	Useful information for US capital markets	IFRS-converged reporting under company law
Setter	IASB	FASB, recognised by the SEC	ICAI recommends; NFRA reviews; MCA notifies
Legal force	Only through national adoption	Required for US domestic issuers	Section 133 Rules, Companies Act 2013
Style	Principles, more judgment	Detailed Codification, many specific rules	IFRS text with Indian carve-outs and carve-ins
Reach	Required in 140+ jurisdictions	Home market plus US-listed groups	Companies under the Ind AS roadmap

One line: IFRS is a global baseline, US GAAP is a national codification with global reach, Ind AS is IFRS adapted by statute.

Five differences that move profit

Area	IFRS	US GAAP	Effect on analysis
Inventory costing	LIFO prohibited	LIFO permitted	Adjust US LIFO users using the LIFO reserve
Inventory write-downs	Reversed if value recovers, up to cost	Not reversed	IFRS profit can rebound after a downturn
Development costs	Capitalised once criteria are met	R&D generally expensed	IFRS shows higher assets and earlier profit
Property, plant, equipment	Cost or revaluation by class	Revaluation not allowed	IFRS book values can track market values
Impairment reversal	Allowed, except goodwill	Generally not allowed	Recoveries flow to IFRS earnings

Direction of bias: IFRS gives more relevance and more discretion; US GAAP gives more reliability and fewer choices.

Where jointly written or recent rules still diverge

- **Leases:** both put most leases on the balance sheet. IFRS 16 splits the cost into depreciation and interest; US GAAP keeps a single operating-lease cost for operating leases. Variable payments not tied to an index or rate stay off the balance sheet.
- **Equity stakes:** US GAAP sends fair-value changes on most equity investments through net income; IFRS 9 lets a company elect OCI for stakes not held for trading.
- **Credit losses:** US CECL versus IFRS 9's staged expected losses.
- **Crypto:** US GAAP (ASU 2023-08, annual periods beginning after 15 December 2024) uses fair value through profit or loss; IFRS usually treats crypto as an intangible at cost.

Six Ind AS carve-outs that change reported numbers (compilation c. 2022; check later MCA amendments)

Ind AS	Departure from IFRS	Effect to watch
1	A loan stays non-current if the lender waives a covenant breach before accounts are approved	Debt may be non-current where IAS 1 says current
40	Investment property: cost model only	No fair value gains in profit
103	Bargain-purchase gain goes to capital reserve	Profit differs from IFRS 3
27	Equity-method option removed in separate statements	Cost or fair value instead
32	Foreign-currency convertible bonds with fixed shares and price classed as equity	Less profit volatility
19	Post-employment discount rate based on government bond yields	Different sensitivity

Non-GAAP numbers and IFRS 18. IFRS 18 replaces IAS 1 for years beginning on or after 1 January 2027. It adds two defined subtotals (operating profit, and profit before financing and income taxes), requires management-defined performance measures to be disclosed and explained, and tightens grouping of items. In the US, Regulation G and Item 10(e) require non-GAAP measures to be reconciled and not given undue prominence; SEC staff see excluding normal recurring costs as potentially misleading. **Test any adjusted number:** is the item truly non-recurring, is it reconciled, and are the assumptions disclosed?

Analyst's checklist for comparing companies across frameworks

1. Find the framework in the audit report.
2. Inventory: add back the LIFO reserve for US peers; note IFRS write-down reversals.
3. R&D and intangibles: put development costs on one basis (Volkswagen under IFRS against Ford under US GAAP).
4. Leases and leverage: include lease liabilities; test variable leases and the expense pattern.
5. Fair value items: check whether equity-stake and crypto gains sit in net income, OCI or nowhere.
6. Revalued assets: spot revalued property or fair-valued investment property that inflates book value.
7. Adjusted earnings: reconcile non-GAAP to GAAP; question recurring exclusions.
8. Debt and covenants: for Indian borrowers, check covenant-waiver classification under the Ind AS 1 carve-out.

Key point. The three frameworks agree on principles but differ in details that change profit, assets and leverage. Recast before you compare.

Part 5. Country routes: adopt, endorse, adapt or retain

Route	What it means	Examples
Adopt	Use the IASB text as issued; usually only large listed companies	Brazil, Australia, Canada
Endorse	A local body examines each standard and may add or change requirements	EU, UK
Adapt or converge	IFRS is the base, with local adjustments	India (Ind AS), China (ASBE), Japan (JMIS)
Retain	Keep a national setter; IFRS may be admitted for foreign issuers	United States

Read the label with care. The IFRS Foundation reports IFRS required in more than 140 jurisdictions, but the profiles show who must comply: usually domestic listed companies, with smaller ones on national rules or IFRS for SMEs.

Nine jurisdictions at a glance

Jurisdiction	Route	What domestic listed companies use
European Union	Endorse	IFRS as endorsed by the EU, in consolidated accounts of listed groups
United Kingdom	Endorse	UK-adopted international standards, from 31 Dec 2020
India	Adapt	Ind AS, converged with IFRS but with carve-outs
China	Converge	ASBE, substantially converged with IFRS; Hong Kong listings may choose IFRS
Japan	Mixed	J-GAAP, with voluntary IFRS, modified IFRS (JMIS) or US GAAP as options
Canada	Adopt	IFRS for publicly accountable entities; SEC issuers may use US GAAP
Brazil	Adopt, modified	IFRS required, with some IAS options removed
Australia	Adopt	AASB standards based on IFRS since 2005
United States	Retain	US GAAP; foreign private issuers may use IASB IFRS

Profiles differ in age (Australia 2017, China 2018, India 2019, Japan 2020, Canada 2023, Brazil 2026), so treat older ones as a starting point.

India and China converge, but quality depends on enforcement. India chose convergence, not full adoption, and carve-outs remain. China requires domestic listed companies to use ASBE; its December 2025 climate standard was informed by IFRS S2 and is voluntary until its scope is set. Research across 21 countries (Christensen, Hail and Leuz, 2013) found liquidity gains after IFRS adoption only where enforcement changed at the same time.

Japan: a voluntary path put half of market value on IFRS. Four frameworks exist: J-GAAP, voluntary IFRS (since 2010), JMIS (modified IFRS since 2015, with changes such as goodwill amortisation) and US GAAP with FSA permission. As of July 2026, companies applying IFRS represent JPY 708 trillion of JPY 1,384 trillion, or 51.2% of total listed market value, and 52.6% of Prime Market value. In all, 318 companies apply or plan IFRS (297 adopted). Lesson: a voluntary route, backed by regulator criteria and exchange promotion, can reach about half of market value without a mandate; large multinationals led.

United States: retain, with a question mark. Domestic public companies must use US GAAP; foreign private issuers have filed IFRS without reconciliation since 2007. On 10 September 2025 the SEC Chair said the SEC might review that decision, because its premise was an IASB with stable funding and independence. In the sources reviewed this was a warning, not a rule change. If the exemption were withdrawn, IFRS filers on US exchanges (including Indian companies with US listings) could face reconciliation costs.

Scorecard for any "we follow IFRS" claim

Test	What to check
1. Who decides?	IASB text binds directly, or a local body gates it
2. Which entities?	Listed groups only, or separate statements and SMEs too
3. What is changed?	Deleted options, added disclosures, carve-outs
4. Which exits exist?	Another framework for some issuers
5. How current?	Age of the profile and pending changes
6. Is enforcement strong?	Benefits appear where enforcement and incentives are strong

Key point. The country, not the IASB, decides whether to adopt completely or in part, and for which companies. Always ask which route, and for whom.

Part 6. Motives: why internationalize, why resist

Economic motive: cheaper to compare, cheaper to fund.

- **Investors** who hold foreign shares want comparable statements. Rule differences, such as development costs, make Volkswagen (IFRS) hard to compare with Ford (US GAAP).
- **Companies** competing with international rivals must explain performance under different rules; multinationals and cross-listed issuers save effort with one reporting language.
- **Capital markets:** Daske, Hail, Leuz and Verdi (2008) found mandatory IFRS adoption brought better liquidity and a lower cost of capital, strongest where enforcement was strong.
- **Standard setters:** the FASB and IASB agreed in 2002 to work towards compatible standards and wrote revenue and lease rules together, yet differences persist.

Regulatory motive: integrate markets, rebuild trust, supervise across borders. The EU put listed groups on one set of endorsed IFRS from 2005. Sarbanes-Oxley (2002) created the PCAOB after the scandals. The IOSCO Monitoring Board oversees the IFRS Foundation, and national enforcers share cases through ESMA. Hong Kong lets Chinese firms choose their framework and Japan set criteria for voluntary IFRS. Regulators want comparable, enforceable information more than identical rules, which is why most keep a local gate, filter or enforcer.

Why some retain or modify

Reason	Evidence
Different users and needs	Intended recipients of reports and the information they need differ
Law, tax and politics	Political, legislative and tax pressures make rules diverge
Cost	A second set of books costs systems, training and audit, so many countries limit IFRS to listed companies
Unproven quality gain	Mixed evidence: Barth, Landsman and Lang (2008) found less earnings management among IAS firms, but liquidity gains appeared only where enforcement also changed
Local control of detail	The UK built its own superstructure; India keeps carve-outs
Sector gaps	SEC staff noted gaps in extractive, insurance and rate-regulated accounting

Why the US keeps US GAAP. The SEC staff's 2012 report gave reasons: the IFRS Foundation cannot compel funding and relied on voluntary contributions; sector gaps; uneven investor knowledge of IFRS; and direct designation of IASB standards lacked majority support, while an endorsement route kept US influence. The US instead recognised FASB under five tests (2003), converged on revenue and leases, admitted IFRS for foreign issuers (2007), and made no recommendation to move US issuers to IFRS (2012).

Phase	Years	What happened
1. Converge	2002 to 2006	Norwalk Agreement; SEC recognises FASB; FASB-IASB MoU
2. Accept	2007	Foreign issuers file IFRS without reconciliation
3. Hesitate	2012 onward	Staff report, no move for US issuers; 2025 warning of a review

Key point. Motives to internationalize are economic (cheaper comparison and capital) and regulatory (integration, trust). Resistance reflects law, cost and control. The US moved with the world while it could keep control, and stepped back when control or funding was in doubt.

Part 7. Benefits, limits and practice

Benefits. Comparability across borders; better liquidity and lower cost of capital where enforcement is strong; easier cross-border fundraising without full restatement (as in the US since 2007); one language for group reporting; mobility of accountants, auditors and analysts; and closer systems from joint standard-setting. Benefits are real but conditional on enforcement, firm incentives and faithful application.

Limitations: a basic framework, not a single set of numbers.

Limitation	Evidence
Only a basic framework	Countries add their own superstructure, as the UK has; differences remain
Joint rules still differ	IFRS 16 and ASC 842 treat operating-lease expense differently; US GAAP forces equity gains into profit, IFRS does not
Labels overstate use	"Uses IFRS" usually means major listed companies only; modifications such as Brazil's or Ind AS carve-outs change numbers
Quality gains not guaranteed	Liquidity improved only where enforcement also changed
Presentation stays inconsistent	Investors found profit presentation inconsistent even under IFRS, which is why IFRS 18 was issued
The US remains outside	Global use is incomplete

Implementation challenges are people, systems and contracts as much as rules. Judgment-heavy rules raise audit and enforcement demands. Preparers, auditors, boards and regulators need new skills. New models (expected credit losses, leases) need new data and controls. Covenants can be hit: IndiGo reported a lease liability of about ₹17,464 crore on adopting Ind AS 116, so loan terms may need renegotiation. Tax and company law may be tied to local accounting. IFRS 1 governs first adoption, and year-ends differ. **Practical rule:** review contract and KPI impacts before the accounting is final, so surprises do not reach investors first.

For investors: recast development costs, inventory and leases onto one basis; watch leverage (lease adoption moved IndiGo's liabilities); ask for reconciliations of adjusted profit; weight benefits by enforcement; and calendar IFRS 18 (1 January 2027) and the possible SEC review. **For CFOs:** plan reconciliations early around the listing venue; govern adjusted numbers; comment on exposure drafts; prepare systems, controls and training before effective dates; and brief lenders and analysts on mechanical changes such as lease liabilities before results.

For Indian managers: Ind AS is not IFRS, and several changes are coming. Know the gap: Ind AS statements are not automatically IFRS-compliant, and for a US listing the SEC accepts IFRS as issued by the IASB, not a modified version. Track dates: RBI ECL directions from 1 April 2027; Ind AS 117 for insurers with the IRDAI timetable to be confirmed; SEBI's BRSR; NFRA's oversight of audit quality. Ask your CFO or audit committee: which carve-outs affect our numbers, and how would an IFRS-based investor read our covenants, investment property and bargain-purchase gains?

Key point. The benefits are real but conditional. Implementation risk sits in contracts, systems and communication, not only in accounting rules.

Part 8. Sustainability: is the ISSB the next IFRS?

What exists. IFRS S1 (general sustainability-related disclosures) and S2 (climate), issued June 2023, effective from 1 January 2024 where a jurisdiction adopts them. The IFRS Foundation reported in August 2026 that 40+ jurisdictions have adopted or are using ISSB Standards.

The same pattern as IFRS: a global baseline from an international board; each country decides whether, when and how to adopt; local additions and delays follow. Sustainability information is meant to connect to the financial statements of the same company, so CFOs will own both sets of numbers.

Jurisdiction	Path
China	Own standard informed by IFRS S2; climate standard issued December 2025; voluntary until scope and timeline are set
India	SEBI's BRSR framework for listed companies; check current scope and assurance rules
European Union	Own ESRS-based regime, scaled back through the Omnibus package
40+ jurisdictions	Adopting or using ISSB Standards

Readiness checklist for finance leaders: (1) name an owner across finance and sustainability and brief the audit committee; (2) build controlled, auditable data for emissions, energy and climate risk; (3) reconcile sustainability assumptions with financial-statement estimates; (4) map each subsidiary's local rules (ISSB-based, ESRS, BRSR, home standard); (5) plan evidence for external assurance; (6) track local effective dates, many voluntary or under review.

Key point. Treat sustainability reporting as the next framework to internationalize, with the same adopt-or-adapt questions and the same uneven timing.

Part 9. Worked examples, discussion and takeaways

Example 1: Volkswagen (IFRS) and Ford (US GAAP) on R&D. Volkswagen capitalises development costs that meet the IAS 38 criteria; in 2024 its capitalised development additions exceeded amortisation, group intangibles were €93,333m, and R&D was 7.9% of automotive sales. Ford reports under US GAAP, where R&D is generally expensed as incurred, so more cost reaches profit earlier. An analyst must restate one of them. Capitalising is more relevant if future benefits are real but less reliable; expensing is easier to verify but may omit value.

Example 2: IndiGo and Ind AS 116. On adoption, lease liability was about ₹17,464 crore against a right-of-use asset of about ₹13,282 crore. Lease cost moved out of operating expense into depreciation and interest, and lease payments into financing cash flow. Operating profit and EBITDA rose and leverage ratios worsened. No cash changed; the ratios and covenants did.

Example 3: fair value and adjusted earnings.

- **Tesla:** its Q1 2024 10-Q carried digital assets at $184m against a fair value of $821m. US GAAP moved to fair value through profit or loss for annual periods beginning after 15 December 2024; IFRS usually keeps cost less impairment.
- **Equity stakes:** US GAAP sends fair-value changes through net income; IFRS 9 and Ind AS 109 allow an OCI election. Same portfolio, different profit volatility.
- **Adjusted profit:** the SEC requires reconciliation to GAAP; IFRS 18 adds rules for management-defined measures from 2027.

The same economics can read as a loss, a gain or a profit depending on the standard, the measurement choice and the adjustments management adds back.

Discussion questions: you are the fund manager, then the CFO

1. Volkswagen against Ford: you hold both. Which adjustments put development costs on one basis, and what would you ask each CFO for?
2. IndiGo as CFO: you adopt a new lease standard next quarter. Which lenders, covenants and KPIs do you brief first, and what do you say?
3. Wipro and Tata Motors: Indian companies filed in the US under different rule sets. Which gaps still exist today, and which have closed?
4. Your own company: if your employer reports under Ind AS and sold abroad, which three carve-outs matter most to a foreign investor?

Eight takeaways

1. Reported numbers rest on estimates and choices. Standards manage the trade-offs.
2. Internationalization moved from IASC to IASB, endorsement and convergence.
3. The IFRS Foundation writes; each jurisdiction decides what binds.
4. IFRS, US GAAP and Ind AS differ in details that change profit and leverage.
5. Adopt, endorse, converge and retain are different routes; read the label with care.
6. Motives are economic and regulatory; resistance reflects law, cost and control.
7. Benefits depend on enforcement; differences persist even in joint standards.
8. The ISSB is the next test of the same adoption pattern.

> **Key point.** A global language exists, but dialects, enforcement and national interests still decide what the numbers mean.

Key sources

IFRS Foundation (standards, jurisdiction profiles); IAS Plus; EU Regulation 1606/2002; US SEC releases and staff reports; FASB Concepts Statement 8 and ASUs; ICAI, MCA, NFRA, RBI, IRDAI; ICAI Ind AS versus IFRS compilation; Japan Exchange Group; Tesla 10-Q, Wipro and Tata Motors 20-Fs, Volkswagen Annual Report 2024, Ford 10-K; Value Research (IndiGo); Daske et al. (2008); Barth, Landsman and Lang (2008); Christensen, Hail and Leuz (2013); Jensen and Meckling (1976); Gray (1988); Nobes (1998).